

Minimum Wage Exception Report

User Guide

Access Limited Distribution

Payroll

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Document Control

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1. Introduction

1.1. Purpose of this Guide

The purpose of this document is to provide guidance on how to use the *Minimum Wage Exception Report* in Payroll.

1.2. What is the Minimum Wage Exception Report?

This *Minimum Wage Exception Report* generates in both a PDF and CSV format. It displays *Employees* whose calculated hourly rate is below the expected *Statutory Rate* that the system has been set to apply based on the *Employees' age*.

The *Minimum Wage Check* and *Living Wage Check* can be generated for *Payrolls* with any country code. However, the *Minimum Wage for Apprenticeship Rates Check* is only applicable to *UK Payrolls*.

1.3. Prerequisites to Using the Minimum Wage Exceptions Report

Before using the *Minimum Wage Exception Report* in Payroll, you must:

- Configure the *National Minimum Wage (NMW)*, *National Living Wage (NLW)* and the *Minimum Wage for Apprenticeship Rates and Rules* in *People Management*.
- Configure the *Pay Codes* to be included in the *Minimum Wage/Living Wage Check*.
- Configure the *Periodic Employee Hours* on the *Pay Group*.



Note:

For details on how to configure the *National Minimum Wage (NMW)*, *National Living Wage (NLW)* and the *Minimum Wage for Apprenticeship Rates and Rules* in *People Management*, see the [People Management V28: Configuring Wage Warnings](#) user guide.

1.4. Overview

This document covers the following areas:

- How to configure a *Pay Code* so it is included in the *Minimum Wage/Living Wage Check*.
- How to configure the *Periodic Employee Hours* on the *Pay Group*.
- How to generate the *Minimum Wage Exception Report*.

2. Minimum/Living Wage Check

2.1. Pay Code Configuration

2.1.1. Overview

Enable the *Minimum Wage/Living Wage Check* indicator on all *Pay Codes* to be included in the calculation of *Employee's Earnings* when generating the *Minimum Wage/Living Wage Check*.

2.1.2. Pay Code Configuration

To enable the *Minimum Wage/Living Wage Check* indicator on a *Pay Code*:

1. Go to *Payroll Dashboard > Settings > Pay Codes*.
2. Select **Option 2 – Rules**.
3. Search for the *Minimum Living Wage Check* rule.
4. Enable the *Minimum Living Wage Check* indicator.

The screenshot shows the 'Pay Codes' configuration interface. On the left, there is a sidebar with three steps: 1. Pay Code Formula, 2. Rules (selected), and 3. General Ledger. The main area is titled 'Pay Code Wizard' and 'Rules'. It features a search bar with the text 'Minimum living' and an 'ADD' button. Below the search bar is a table with columns 'Rule', 'Description', and 'Value'. The table contains one entry: 'Minimum Living Wage Check' with a description 'Toggle on if this is to be included in the minimum/living wage check. This should only be used for allowances or Salary Sacrifice Pay Codes' and a value 'On'. There is an 'EDIT' button next to this entry. At the bottom right, there are 'PREVIOUS' and 'NEXT' buttons.

5. Click **Save**.

Note:

- Repeat the above step for all relevant *Pay Codes*.
- Enable the *Minimum Wage/Living Wage Check* indicator for any *Pay Codes* used to reduce an *Employee's* pay before calculating the *Minimum Wage/Living Wage*, such as *Salary Sacrifice*.

2.2. Pay Group Configuration

2.2.1. Overview

Enable the *Periodic Employee Hours* indicator on the *Pay Group* where the *Contracted Hours* held on the *Employees' Contracts* are **not** their *Weekly Hours*. For example, where the *Pay Group* has a *Fortnightly Pay Frequency* and the *Contracted Hours* held on the *Employees' Contracts* are their *Fortnightly Hours*.



Note:

Generally, the *Contracted Hours* held on the *Employees' Contracts* are their *Weekly Hours*, even in the case of *Fortnightly*, *4-Weekly* and *Monthly Pay Groups*.

Indicator Status	Description
Enabled	The hours held on the <i>Employees' Contract</i> are not their <i>Weekly Hours</i> .
Disabled	The hours on the <i>Employees' Contract</i> are their <i>Weekly Hours</i> .

2.2.2. Pay Group Configuration

To enable the *Periodic Employee Hours* indicator on the *Pay Group*:

1. Go to *Payroll Dashboard > Settings > Pay Groups*.
2. Select a *Pay Group* from the drop-down *Pay Group* menu.
3. Click **Next Page**.
4. Enable the *Periodic Employee Hours* indicator.

Transfer History Indicator ☐

Legacy Supplementary Run ☐

Turn Off No Associated Timesheets ☐

Periodic Employee Hours ☒

Payslip Tolerance

Reprocess Indicator ☐

Shared Services ☐

PSPP Exclusion Indicator ☐

Social Welfare Offset Days

Cancel

5. Click **Save**.

3. The Minimum Wage Report

3.1. Overview

The *Minimum Wage Exception Report* identifies *Employees* earning below the set *National Minimum Wage (NMW)*, *National Living Wage (NLW)* and the *Minimum Wage for Apprenticeship Rates*.

It displays *Employees* whose calculated hourly rate is below the expected *Statutory Rate* that the system has been set to apply based on the *Employees*' age.

The Minimum Wage Check and Living Wage Check can be generated for *Pay Groups* with any country code. However, the *Minimum Wage for Apprenticeship Rates Check* is only applicable to UK Payrolls.



Note:

- For details on how to configure the *National Minimum Wage (NMW)*, *National Living Wage (NLW)* and the *Minimum Wage for Apprenticeship Rates and Rules* in *People Management*, see the [People Management V28: Configuring Wage Warnings](#) user guide.
- For details on how to review or update an *Organisation's Country Code*, see the [Configuring](#)

This *Minimum Wage Exception Report* displays *Employees* whose calculated hourly rate is below the expected *Statutory Rate* that the system has been set to apply based on the *Employees*' age.



Note:

The *Minimum Wage Check* in *Payroll* is completed on the *Employees' Substantive Appointments*.

3.2. Generate the Minimum Wage Report

This *Minimum Wage Exception Report* generates in both a PDF and CSV format.

To generate the *Minimum Wage Exception Report* in Payroll:

1. Go to *Payroll Dashboard > Manage Payroll > Payroll Checking > View Gross to Nett*.
2. Select the *Minimum Wage* tab.
3. Configure the *Minimum Wage Exception Report* using the following indicators.

Payroll Dashboard

View Gross to Nett

Payroll Dashboard > View Gross to Nett

Paygroup: 1240 University UK | Calculation version: v29.46e | Payroll Period: Dec-2020 | Date/Time Created: 07/12/20 15:00:06

Gross to Nett | Observations | Control Reports | **Minimum Wage**

This option will generate a report that will show all employees who are potentially being paid below the minimum wage, apprentice wage or the living wage. It will also create an excel sheet containing the employee information which will be available in the Reports Centre.

1 Payroll Period *
Dec-2020

2 Periodic Employee Hours ☐

3 Apprentice minimum wage age *
19

4 Apprentice minimum wage service *
1

5 Age entitled to living wage *
25

RUN REPORT

The Minimum Wage Report Indicators

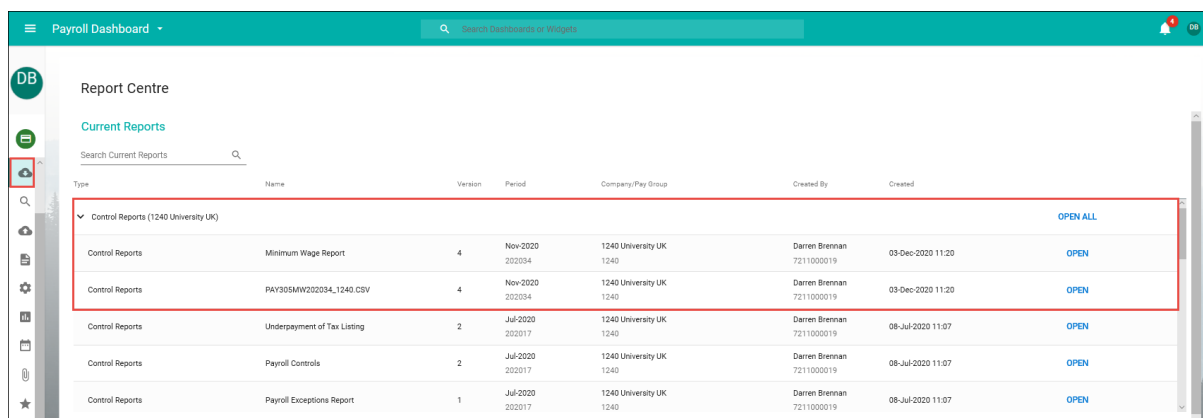
Field	Indicator	Description
1	Payroll Period	Select a <i>Payroll Period</i> from the drop-down <i>Payroll Period</i> menu.

Field	Indicator	Description						
		 Note: - To generate the <i>Minimum Wage Exception Report</i> for previous payroll periods, the <i>Payroll User</i> requires the following menu options: <table border="1"> <thead> <tr> <th>Menu Option</th><th>Description</th><th>System</th></tr> </thead> <tbody> <tr> <td>Payroll</td><td>Payroll</td><td>Webservices</td></tr> </tbody> </table> - To generate the <i>Minimum Wage Exception Report</i> for previous payroll periods, your system must have one of the following features enabled.	Menu Option	Description	System	Payroll	Payroll	Webservices
Menu Option	Description	System						
Payroll	Payroll	Webservices						
2	Periodic Employee Hours	Enable the <i>Periodic Employee Hours</i> indicator where the <i>Contracted Hours</i> held on the <i>Employees' Contracts</i> are not their <i>Weekly Hours</i>. For example, where the <i>Pay Group</i> has a <i>Fortnightly Pay Frequency</i> and the <i>Contracted Hours</i> held on the <i>Employees' Contracts</i> are their <i>Fortnightly Hours</i>.  Note: Generally, the <i>Contracted Hours</i> held on the <i>Employees' Contracts</i> are their <i>Weekly Hours</i>, even in the case of <i>Fortnightly</i>, <i>4-Weekly</i> and <i>Monthly Pay Groups</i>.						
2	Apprentice Minimum Wage Age	This is the age at which an apprentice is entitled to the minimum wage, e.g. 19 years old.						
3	Apprentice Minimum Wage Service	An apprentice with more than one-year service is entitled to go on to a separate rate, e.g. Minimum Wage – if they are aged 19 or over and have completed their first year of the apprenticeship. Living Wage – if they are aged 25 or over and have completed their first year of the apprenticeship.						
4	Age Entitled to Living Wage	The age at which an employee is entitled to get the living wage as a minimum wage e.g. 25 years old.						

Payroll: Minimum and Living Wage Validation

4. Click **Run Report**.

The *Minimum Wage Report* generates to the *Report Centre*.



The screenshot shows the 'Report Centre' interface. On the left is a sidebar with icons for DB, Reports, and other functions. The main area is titled 'Report Centre' and 'Current Reports'. A search bar is present. Below it is a table of reports. A red box highlights the 'Minimum Wage Report' and the 'PAY305MW202034_1240.CSV' report.

Type	Name	Version	Period	Company/Pay Group	Created By	Created	
Control Reports (1240 University UK)							OPEN ALL
Control Reports	Minimum Wage Report	4	Nov-2020 202034	1240 University UK 1240	Darren Brennan 7211000019	09-Dec-2020 11:20	OPEN
Control Reports	PAY305MW202034_1240.CSV	4	Nov-2020 202034	1240 University UK 1240	Darren Brennan 7211000019	09-Dec-2020 11:20	OPEN
Control Reports	Underpayment of Tax Listing	2	Jul-2020 202017	1240 University UK 1240	Darren Brennan 7211000019	08-Jul-2020 11:07	OPEN
Control Reports	Payroll Controls	2	Jul-2020 202017	1240 University UK 1240	Darren Brennan 7211000019	08-Jul-2020 11:07	OPEN
Control Reports	Payroll Exceptions Report	1	Jul-2020 202017	1240 University UK 1240	Darren Brennan 7211000019	08-Jul-2020 11:07	OPEN



Note:

For details on how to access and use the Report Centre, see the [Report Centre](#) user guide.

3.3. The Minimum Wage Report – Pay305mw

This *Minimum Wage Exception Report* generates in both a PDF and CSV format. It displays *Employees* whose calculated hourly rate is below the expected *Statutory Rate* that the system has been set to apply based on the *Employees' age*.

Weekly Example:

Employee	Name	Appointment Id	Latest Start Date	Leave Date	Pay in Period	Calculated Annual Pay	Hours Used	Hourly Rate	Statutory Rate	Age	Rate Type
2513054	Ebony Lee	721118-12	01-APR-19		316.44		37.5	8.44	8.72	25	Living Wage
2517637	Robin Hanson	721110-23	01-NOV-20		153.42		37.5	4.09	4.55	17	Apprentice Wage
2517640	Johnny O'Donnell	721110-24	01-NOV-20		172.6		37.5	4.6	6.45	19	Minimum Wage
-----End of Report-----											

Monthly Example:

Payroll: Minimum and Living Wage Validation

Employee	Name	Appointment Id	Latest Start Date	Leave Date	Pay in Period	Calculated Annual Pay	Hours Used	Hourly Rate	Statutory Rate	Age	Rate Type
2513054	Ebony Lee	721118-12	01-APR-19		1375	16500	37.5	8.46	8.72	25	Living Wage
2513120	Mary Green	721119-7	10-NOV-19	15-DEC-20	705.65	8467.8	37.5	4.34	8.2	23	Minimum Wage
2517637	Robin Hanson	721110-23	01-NOV-20		666.67	8000.04	37.5	4.1	4.55	17	Apprentice Wage
2517640	Johnny O'Donnell	721110-24	01-NOV-20		750	9000	37.5	4.62	6.45	19	Minimum Wage
-----End of Report-----											

CSV Example:

	A	B	C	D	E	F	G	H	I	J	K	L	M
1													
2	Employee Reference	Name	Appointment ID	Latest Start Date	Leave Date	Pay in Period	Calculated Annual Pay	Employee Hours Used	Hourly Rate	Minimum Rate	Minimum Rate Type	Age	Service
3	2513054	Ebony Lee	721118-12	01-Apr-19		1375	16500	37.5	8.46	8.72	Living Wage	25	1
4	2513120	Mary Green	721119-7	10-Nov-19	15-Dec-20	705.65	8467.8	37.5	4.34	8.2	Minimum Wage	23	1
5	2517637	Robin Hanson	721110-23	01-Nov-20		666.67	8000.04	37.5	4.1	4.55	Apprentice Rate	17	0
6	2517640	Johnny O'Donnell	721110-24	01-Nov-20		750	9000	37.5	4.62	6.45	Minimum Wage	19	0
7													
8													
9													
10													

The *Minimum Wage Exception Report* explained:

Column	Description
Employee	This column displays the Employee's Reference Number.
Name	This column displays the Employee's Name.
Appointment ID	This column displays the Employee's Substantive Appointment.
Latest Start Date	This column displays the Employee's Latest Start Date.
Leave Date	This column displays the Employee's Leave Date, where the Leave Date falls into the current Payroll Period.
Pay in Period	This column displays the Employee's pay in the current Payroll Period.
Calculated Annual Pay	This column displays the Employee's Calculated Annual Pay. This displays for Employees on a <i>Monthly Pay Frequency</i> .
Hours Used	Where the <i>Periodic Employee Hours</i> indicator is Disabled: This column displays the <i>Weekly Contracted Hours</i> held on the <i>Employees' Contracts</i> .

Payroll: Minimum and Living Wage Validation

Column	Description
	Where the <i>Periodic Employee Hours</i> indicator is Enabled: This column displays the weekly equivalent to the <i>Contracted Hours</i> held on the <i>Employees' Contracts</i> .
Statutory Rate	This column displays <i>Employees</i> expected <i>Statutory Rate</i> that the system has been set to apply based on the <i>Employees' age</i> .
Age	This column displays the <i>Employee's</i> age.
Rate Type	This column displays the <i>Employee's Rate Type</i> , i.e. Minimum Wage, Living Wage and Apprentice Wage.

The *Minimum Wage Exception Report* identifies the *Employee's* which *Payroll* could not check along with and explanation as to why.

Employee	Name	Appointment Id	Error Text
2513040	Driscoll Sparks	721119-6	Employee 2513040 has no date of birth
----End of Report----			

The *Minimum Wage Exception Report* also generates in a CSV format.

	A	B	C	D	E	F	G	H	I	J	K	L	M
1													
2	Employee Reference	Name	Appointment ID	Latest Start Date	Leave Dat	Pay in Period	Calculated Annual Pay	Employee Hours Used	Hourly Rate	Minimum Rate	Minimum Rate Type	Age	Service
3	2517637	Robin Hanson	721110-23	01-Nov-20		666.67	8000.04	37.5	4.1	6.45	Apprentice Rate	20	0
4	2517640	Johnny O'Donnell	721110-24	01-Nov-20		750	9000	37.5	4.62	6.45	Apprentice Rate	19	0
5													
6													
7													

3.4. Starter Leaver Mid Period

Where an employee is set to start or leave mid payroll period, the employee displays on the *Minimum Wage Exception Report* where their earnings for the period divided by their *Contracted Hours* are below the set Minimum Wage.

Employee	Name	Appointment Id	Latest Start Date	Leave Date	Pay in Period	Calculated Annual Pay	Hours Used	Hourly Rate	Statutory Rate	Age	Rate Type
2513054	Ebony Lee	721118-12	01-APR-19		1375	16500	37.5	8.46	8.72	25	Living Wage
2513120	Mary Green	721119-7	10-NOV-19	15-DEC-20	705.65	8467.8	37.5	4.34	8.2	23	Minimum Wage
2517637	Robin Hanson	721110-23	01-NOV-20		666.67	8000.04	37.5	4.1	4.55	17	Apprentice Wage
2517640	Johnny O'Donnell	721110-24	01-NOV-20		750	9000	37.5	4.62	6.45	19	Minimum Wage
2517699	Tyler Hopkins	721113-498	14-DEC-20		967.74	11612.88	40	5.58	6.45	20	Minimum Wage
-----End of Report-----											